



PHOTO BY MILIND SHELTE

“RATIONALISING TDS RATES TO JUST A COUPLE OF SLABS WOULD GO A LONG WAY TOWARDS REDUCING COMPLIANCE COSTS FOR TAXPAYERS”

appeals are pending. They believe these demands are unjust, making the upfront payment a big financial strain. That said, if the revenue succeeds in litigation, it loses out on the remaining 80%, creating dissatisfaction on both sides.

To address this, it is necessary to look at a few ways of going about it. Perhaps, a larger share of cases can be handled by the Dispute Resolution Panel (DRP) and matters involving higher stakes can be allowed to be directly addressed by the Income Tax Appellate Tribunal (ITAT).



What is your view on the time taken when it comes to resolving tax disputes?

Tax litigation often takes 12-15 years to reach a conclusion in the Supreme Court. Such delays create challenges for taxpayers, including contingent liabilities that impact company valuations and IPOs. A practical solution could be to introduce a settlement scheme, enabling taxpayers to negotiate and settle disputes with tax authorities. That will avoid prolonged litigation.

For non-resident taxpayers, the revival of the Authority for Advance Rulings (AAR) is imperative. Providing certainty to non-residents is essential if India wants to attract significant foreign investment.



How do you look at the challenges around compliance?

There are several issues that merit attention. Tax collected at source (TCS) is one that has risen to as high as 20%. It raises a pertinent question: is TCS necessary at all? While it is intended to monitor transactions, taxpayers already under the ambit of GST should not have to bear an additional TCS burden.

Coming to tax deducted at source (TDS), the complexity of it and the administrative burden it imposes on those withholding taxes is another significant challenge. Rationalising TDS rates to just a couple of slabs would go a long way towards reducing compliance costs for taxpayers. It is indeed a waste of time and costs for those deducting tax at source to be subjected to litigation merely because the tax officer believes that the rate of withholding should have been higher under a different section.

Finally, there is the issue of accountability. The large-scale additions by the tax office, which ultimately get knocked off in appeals, create a huge negative impact. There needs to be a mechanism to monitor the additions, and I do hope to see some provisions on this front in the Budget. **BT**

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